

Program : Diploma in Commercial Practice	
Course Code : 5143A	Course Title: Financial Market
Semester : 5	Credits: 4
Course Category: Program Elective	
Periods per week: 4 (L:4, T:0, P:0)	Periods per semester: 60

Course Objectives:

- To provide fundamental knowledge in financial market.
- To familiarize with financial market operations and apply knowledge in financing and investment decision.

Course Prerequisites:

Topic	Course code	Course name	Semester
Basic knowledge in Business Studies		Business Studies	1

Course Outcomes:

On completion of the course, the student will be able to:

COn	Description	Duration (Hours)	Cognitive Level
CO1	Explain the basic concept about financial market.	12	Understanding
CO2	Identify the operations of Stock Exchanges.	19	Applying
CO3	Choose various money market and derivative market instruments.	16	Applying
CO4	Identify financial market regulators and financial intermediaries.	11	Applying
	Series Test	2	

CO - PO Mapping:

Course Outcomes	PO1	PO2	PO3	PO4	PO5	PO6	PO7
CO1	2						
CO2		3					
CO3	3						
CO4	3						

3-Strongly mapped, 2-Moderately mapped, 1-Weakly mapped

Course Outline:

Module Outcomes	Description	Duration (Hours)	Cognitive Level
CO1	Explain the basic concept about financial market.		
M1.01	Explain features and components Indian financial system and characteristics of financial market.	3	Understanding
M1.02	Explain the meaning, features, functions, importance and types of capital market.	5	Understanding
M1.03	Compare primary capital market and secondary capital market.	1	Understanding
M1.04	Explain the functions and list out kinds of issues in primary capital market.	3	Understanding
Contents: Indian financial system: - Meaning, Features – Components –Financial market – Characteristics of Financial Market. Capital market- Meaning- Features- Functions- – Importance. Capital market Instruments- Equity shares – merits - demerits. Preference shares – advantages - disadvantages. Debenture – advantages - disadvantages. Types of capital market– Primary –Secondary- Compare primary market and secondary market. Functions of primary capital market- Kinds of issues in primary capital market - IPO- Book Building Process – FPO - Private placement - Right issues –bonus issues.			
CO2	Identify the operations of Stock Exchanges.		
M2.01	Explain meaning and functions of stock exchange.	1	Understanding
M2.02	Explain the stock exchanges in India and its objectives.	5	Understanding
M2.03	Identify the eligibility criteria for membership in stock exchange, listing of securities and types of members and operators in stock exchange.	4	Applying

M2.04	Identify the concept of speculation, insider trading and arbitrage.	5	Applying
M2.05	Make use the concept of depository system, procedure for buying and selling of securities through Demat account, online trading of securities.	4	Applying
	Series Test - I	1	

Contents:

Stock exchange: - Stock exchanges -meaning –definition-functions. Stock exchanges in India – Objectives of BSE, NSE, OTCEI AND MCX- Eligibility criteria for membership of stock exchange- Listing of securities-meaning- merits and demerits of listing. Members and operators of stock exchange – broker - jobber - remisiers - tarawaniwalas - badliwallas. Speculation – meaning – Types of speculators-bulls-bear-stag-lame duck. Difference between speculator and investor - Insider trading –dimensions and disadvantages of insider trading- Meaning of the term arbitrage - Depository system –meaning - features of depository system - Procedure for buying and selling of securities through Demat account - Online trading of securities -advantages and disadvantages of online trading.

CO3	Choose various money market and derivative market instruments.		
M3.01	Explain the definition and features of money market.	1	Understanding
M3.02	Compare money market and capital market.	1	Understanding
M3.03	Identify role of DFHI in money market.	1	Applying
M3.04	Choose various money market and derivative market instruments.	8	Applying
M3.05	Identify the concept of hedging.	2	Applying
M3.06	Explain meaning and features of Foreign Exchange market, Commodity Markets and gilt-edged securities.	3	Understanding

Contents:

Money market and Derivative Market – Definition- features of money market - Compare money market and capital market- Money market instruments- Treasury bills- Certificate of deposit- Call money and Short notice money- Commercial paper – Repo agreements – MMMF- Role of DFHI in money market. Derivative market – Meaning and features of derivative market – Meaning and features of forward, future, options and swaps. Hedging-meaning- advantages of hedging. Meaning and features of Foreign Exchange market, Commodity Markets and Gilt-edged securities.

CO4	Identify financial market regulators and financial intermediaries.		
M4.01	Explain the objectives of RBI.	1	Understanding

M4.02	Identify the role of RBI in money market.	1	Applying
M4.03	Identify the objectives, functions and powers of SEBI.	2	Applying
M4.04	Explain SEBI guidelines.	3	Understanding
M4.05	Explain meaning and role of financial intermediaries.	2	Understanding
M4.06	Identify various financial intermediaries.	2	Applying
	Series Test - II	1	

Contents:

Financial Market Regulators and Financial Intermediaries: RBI – objectives - Role of RBI in Money Market. SEBI- objectives- functions and powers. SEBI guidelines- guidelines for issue of fresh capital, guidelines for first issue by new companies in primary market, guidelines for secondary market- clause 49 of the listing agreement. Financial intermediaries – Meaning – Role - Types of financial intermediaries.

Text / Reference:

T/R	Author \Book Title
T1	Gupta N.K and Monica Chopra: <i>Financial Markets Institutions and services</i> . ANE Books.
T2	Preethi Singh: <i>Dynamics of Indian Financial System</i> . ANE Books.
T3	Kevin. S: <i>Security Analysis and Portfolio Management</i> . PHI Learning.
T4	E. Gordon & K. Natarajan: <i>Capital Market in India</i> . Himalaya Publishing House.
R1	Joginder singh: <i>Working of security market in India</i> . Reliance Publishers.

Online Resources:

Sl. No	Website Link
1	https:// www.sebi.gov.in
2	https:// www.nseindia.com
3	https:// www.rbi.org.in
4	https:// www.bseindia.com